

Ratio helpsheet.docx

Tuesday, 12 November 2024

6:13 AM



Ratio
helpsheet



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helpsheet....

Ratios

$$\text{Gross profit percentage} = \frac{\text{Gross profit}}{\text{Revenues}} \times 100$$

$$\text{Operating profit percentage} = \frac{\text{Operating Profit}}{\text{Revenues}} \times 100$$

$$\text{Return on capital employed} = \frac{\text{Operating Profit}}{\text{Capital Employed}} \times 100$$

Current Ratio =

$$\frac{\text{CURRENT ASSETS}}{\text{CURRENT LIABILITIES}}$$

Acid Test =

$$\frac{\text{CURRENT ASSETS - Inventories}}{\text{CURRENT LIABILITIES}}$$

Gearing Ratio =

Non-current liabilities

$$\frac{\text{Non-current liabilities}}{\text{Total equity + non-current liabilities}} \times 100$$